

January 16, 2018

Statement of Laura D. Crowe, Sr. Director, Global Logistics, Walmart, for the US Federal Maritime Commission

Hello my name is Laura Crowe and I am the senior director of Global Logistics for Walmart. My team oversees the movement of the merchandise from purchase order creation to the port of destination and in the US to the first distribution center. Walmart is globally the largest beneficial cargo owner with a majority of that volume coming into US ports and terminals. We strategically diversify our port usage moving 35% (of that 12% IPI) of our volume through the west coast, 24% of our volume via the gulf and 41% of our volume through the east coast.

As my testimony will show, despite our size it is very difficult to leverage our volume to achieve business solutions in regards to demurrage. To understand why, I think it's important to look at the history of the industry and what has gotten us to this point. Historically the Beneficial Cargo owner, or BCO had a contract with a steamship line, and the steamship line, or SSL managed the movement of the cargo from in our case on board the vessel through out-gated at the port/terminal of destination. The SSL managed the terminal relationships on our behalf and the BCO did not have any direct contact with the terminals. The steamship lines operated smaller ships and called terminals where they had either influence or a direct relationship. As the industry has changed and we are now in the era of ultra large container ships and mega alliances, where the ssl calls different terminals and often does not have the relationship to champion the BCO.

Historically, we also had smaller vessels and more sailings calling a terminal. Therefore, the BCO via the SSL would have multiple vessels arriving each week with a smaller amount of cargo on each vessel. As the trend to larger vessels and alliances grew, the amount of sailings diminished and the amount of cargo on each sailing increased. Many terminals became congested and the reality of out gating the cargo became more difficult. However, the amount of free time to out gate the cargo did not increase, thus creating a potential revenue stream for the terminals.

The competition between ports and or terminals does exist in some areas, but in many of the ports and terminals there is no competition as they are state run, creating only one option within that geographical area to receive shipments.

We have fixed assets in markets where the terminals and ports have exclusive control. In these markets, the terminals and ports do not appear to have a market incentive to reach agreements with Walmart and other users. They often defer to the carrier because we do not have a direct contract with the terminal. Then, when the carrier approaches the terminal on

behalf of Walmart, the carriers are told that the terminal will not change the demurrage policy.

Additionally, these demurrage policies are not equitable to all stakeholders, for example this year in a southeast terminal our average dwell was about 2 days more than the tariff free time and due to exceeding tariff free time by just under 2 days; we accrued significant demurrage fees in the millions.

But if conversely, in the same southeast terminal, in the previous year, Walmart cargo dwells on average 3 days less than the tariff free time, there is no benefit to Walmart for removing the cargo expediently, nor any consideration of this fact when we request mitigation of the current year demurrage fees. The terminals seem to have no economic motivation to change or engage with the BCO to find solutions. While we could work to contract a separate demurrage policy directly with the terminal, as I have illustrated, where we are a captive user, we have minimal economic leverage.

Conversely on the west coast, which by all accounts have more congested terminals, there is competition and the terminals actively work with Walmart in order to have Walmart choose to route cargo via that terminal. We still run into issues with lack of appointments, or cargo not being available, but we can contractually manage these issues with the steamship lines and directly with the terminals.

The issue of demurrage is important due to the amount of money that is involved.

In 2016 our cargo was pulled from the terminals on average 2.5 days prior to tariff free time, In 2017 our cargo was pulled from the terminals on average 1.5 days prior to tariff free time, but the difference of 1 day in charges between 2016 and 2017 are in the millions. This is a troubling trend that is due in large part to increasing port congestion that is outside of Walmart's control.

We believe there is a market failure at certain ports and terminals in the country. This failure results in unnecessary costs to both businesses and consumers. For this reason, we support the petition before the Commission and would welcome guidance on problematic demurrage policies.

Thank you for your time and consideration of this petition. I am open to any questions that you may have.